# LECTURE :#18

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## LEGAL AND ACCOUNTING BASICS FOR STARTUPS (Kristy Nathan, Carolyn Levy)

* Founders do not need to know the mechanics in great details.
* make sure to know about the basics;-

Startup → Entity.

### FORMATION

* Your startup is going to be a seperate legal entity and you have to work on the following details:-
  * Delaware Corporation.
  * keep it simple.

* Investors are in the Delaware Corporation analysis.
* The lawyers did the paperwork and fortunately they did not do it right.

* keep it really simple and familiar for yourself.

Setting up?

1) Fax two pieces of paper into delaware and say that it is going to be really a cooperation.
2) Future due diligence requirements.
3) Humdrum reality of running a startup.

Individual vs. Community.

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* Pulling out your documents at those points in your life.

**EQUITY**

Allocation

- Execution > Idea (Ideas = 0)
- How much equity for each founder?
- Look forward not backward.

* No payments for the ideas and rather on the execution.

* When the ownership is disproportionate, the founders are not in sync with each other.
* No disproportionate equity splits.

* Sign the stock purchase agreement and you're going to be buying the shares from the company.
* You're buying the shares in terms of the stock company.

**83 b Election**

* Sign the paperwork and make sure that you have the ~~p~~ ~~of~~ of the earnings for the company.

Vesting is earning the right to permanent ownership of the shares over time.

* Shares that are subject to forfeiture

Typical vesting period. → Four years with a one year cliff (silicon valley)
→ After one year, the founder vests in or fully owns, 25% of the shares.
→ The remaining shares vest over the next 3 years.

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* Company can repurchase the shares from the founder and you would have to give them back with the money.

* The investors want to see the company incentivized at those startups.

* It helps to set an example for the employees.

* Investors don't want to invest in a company where the founders can leave the company and still have a proportionate amount of money.

**FUNDRAISING**

* Logistics → Priced vs Non-Priced Rounds. → Paperwork Alert → Potential Dilution. } Recieve the stock at the future state.
* Investor Requests
* Company Expenses.

* understand your future dilution and own 20% of the company and some money on the low evaluation gap is significantly important.

* Investing into the startups is the most risky thing and is going to be focused on the long term.

Take money from the people who are sophisticated and know that what they are doing.

* Raise the money using the standard documents.

* Board seat. * Pro rata rights
* Advisors. * Information rights

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* Any investor looking for additional shares is just a freebie.

* Pro-Rata → Buying additional things outside the shares and they have no issue, but you must know that how does the pro-rata rights are going to work out.

* **COMPANY EXPENSES.**
    - → what is a business expense?
    - → keeping track of the expenses?

  } Hosting costs, acquiring customers and working on the different things.

* If you are embarrassed in telling your investors that where their money is going to be spent, then that is not going to be an business expense.

* Keep those documents back in the same place and learn about those datasets.

* **FOUNDER EMPLOYMENT**

⇒ Founders are employees of the company and must be paid/salary

⇒ Founder Breakups

→ You wouldn't work for free.

→ Setup a payroll experience and don't go on a lavish salary but focus on a minimum wage instead.

Avoid your problems by paying the payroll taxes liability as of your co-founders wages like a normal company.

* Paperwork alert
* Consultant vs Employee.
* Equity for Employees.

* Workers compensation insurance
* Proof that the employee is authorized to work.

* Checkout if it is an employee or a contractor?
* The method of the payments are very different.
* Not day to day running in the agreements.
* The company withhold the tax returns.
* You need to be paid at least a minimum wage.

## FIRING EMPLOYEES

- Fire quickly
- Communicate effectively
- Pay wages/ salary up to a point of termination.

* Pay all of the wages immediately.
* Repurchase unvested stocks.

## Legitimacy

- Know your key metrics.
- Balance sheet & income statements.
- Tax Returns.

- During formation, keep it simple, use the standard, and stay organized.
- Be fair and forward looking about equity ownership • Have vesting!
- Stock doesn't buy itself.